1.8 Preparation of final accounts from incomplete records

When books of accounts are incomplete, information regarding revenues, expenses assets and liabilities is not known fully. Hence, it becomes difficult to prepare trading and profit and loss account and balance sheet. But with the available data, the missing figures can be found out and then the final accounts can be prepared.

1.8.1 Steps to be followed to prepare final accounts from incomplete records

Following are the steps to be followed to prepare final accounts from incomplete records:

1. Opening statement of affairs is to be prepared, to ascertain the opening capital.

2. Missing figures must be found out with the available data.

   This can be done by preparing memorandum accounts or by making necessary adjustments to the existing figures. For example,

   (a) It may become necessary to prepare a cash book to find out the missing items such as cash purchases, cash sales, etc.

   (b) By preparing total debtors account and total creditors account, credit sales and credit purchases can be ascertained respectively.

   (c) Bills receivable account and bills payable account are to be prepared to find out the balances of bills receivable received and bills payable accepted respectively.

3. The final step is to prepare trading and profit and loss account and balance sheet.

Formats of important accounts, that is, total debtors account, bills receivable account, total creditors account and bills payable account are given below:

(i) Format of total debtors account

Dr. **Total debtors account** **Cr.**

Particulars	₹	Particulars	₹
To Balance b/d (opening balance)	xxx	By Cash A/c (received)	xxx
		By Bank A/c (cheques received)	xxx
To Sales A/c (credit sales)	xxx	By Discount allowed A/c	xxx
To Bank A/c (cheque dishonoured)	xxx	By Sales returns A/c	xxx
To Bills receivable A/c (bills dishonoured)	xxx	By Bad debts A/c	xxx
		By Bills receivable A/c (bills received)	xxx
		By Balance c/d (closing balance)	xxx
	xxx		xxx

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